

The complaint

Miss B complains about how Royal & Sun Alliance Insurance Limited (RSA) dealt with a claim on her home insurance policy.

What happened

Miss B claimed on her policy with RSA for escape of water. RSA reviewed the claim and asked Miss B to get a quote to repair the damage. RSA then accepted the claim but didn't agree to all of the costs in the quote. RSA then dealt with the claim by using its approved repairers.

During the course of assessing the claim and doing the repairs there were numerous issues with missed appointments, delays and late arrivals so Miss B complained. She said she'd lost earnings because of the issues and wasn't happy with the quality of work completed. During the claim Miss B also noticed some jewellery had gone missing from her home and thought the painters RSA had appointed had stolen it, so complained to RSA.

RSA reviewed the complaints and agreed there had been failings in how the claim had been handled. Because of this RSA agreed to pay Miss B £1,740 compensation and to cover some of her lost earnings plus £250 compensation. RSA, however, didn't agree there was sufficient evidence the jewellery had been stolen by its repairers but said it was working with the Police who were investigating the theft. RSA agreed to consider the theft of the jewellery but said it would be dealt with as a second claim. RSA agreed to waive the excess for the jewellery claim and offered Miss B £125 towards a new front door lock.

Miss B didn't think this was good enough and referred her complaint to this service. She said it was clear the repairers sent by RSA had taken her jewellery and so didn't think it was fair to be dealt with as a separate claim as they were only in her home to fix the damage from the escape of water.

Our investigator reviewed the complaint but didn't recommend it be upheld. She found the police investigation into the lost jewellery was ongoing and it wasn't for this service to determine if a crime had been committed or who had committed it. She thought the total compensation RSA had offered was a fair and reasonable amount to compensate Miss B for the errors RSA made in dealing with her claim and that the amount paid for cash in lieu of the remaining repairs was fair and reasonable.

Miss B didn't agree so the complaint has come to me to decide. Miss B had previously provided a detailed response but said there were three key points. These were that it was clear on the balance of probabilities that RSA's repairers had taken her jewellery, it wasn't fair that Miss B would have to declare two claims going forward and therefore have increased premiums and thirdly that she wanted RSA to pay a cash in lieu settlement for the remaining work at the amount she'd been quoted for rather than what it would cost RSA.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and

reasonable in the circumstances of this complaint.

In my decision I will address the issues with the escape of water claim first and then address the theft of Miss B's jewellery.

I'm sorry to hear of the issues Miss B has experienced during the repairs for part of her escape of water claim. It seems odd that RSA would ask Miss B to get a quote and then not accept it and appoint its own repairers. However, I don't think RSA has done anything wrong by using its own repairers. I say this because it's normal for an insurer to use its appointed repairers when dealing with claims.

The policy terms say RSA won't pay more than the amount it would have cost to put things right if it had used its own repairers. As RSA didn't agree with the amount quoted by Miss B's chosen repairer, I don't think it was unreasonable for RSA to use its own repairers.

However, it's clear that there were several issues with RSA's repairers which meant the claim took longer than it should have and resulted in Miss B needing to take additional time out of work. There were also some items which were damaged during the course of the claim which again is disappointing to see. I can see though that RSA has paid £1,740 for lost earnings and £250 compensation for the poor claim handling. When taking into account Miss B had to take more time out of work than would be expected and the unnecessary distress and inconvenience she's had trying to get hold of RSA and its contractors to sort out the issues, I'm satisfied this is fair and reasonable compensation. So, I'm not going to make RSA pay any more.

Regarding the remaining repair work, I can see RSA has now paid Miss B a cash in lieu payment, as agreed by Miss B. I also understand that Miss B doesn't think the amount she's been paid is enough. I've therefore looked at what RSA has paid. I can see RSA has provided a breakdown of the work needed along with costings to show how much it would cost to complete the remaining repairs. RSA, however, hasn't paid the VAT element of the repairs but has agreed to pay the VAT if Miss B needs to pay VAT on the work. From looking at what RSA has paid I'm satisfied it's a fair and reasonable amount.

I understand Miss B has said RSA needs to pay more and provided a quote for the work. I've reviewed the quote compared to RSA's breakdown of costs and I'm more persuaded by RSA's quote. This is because it provides a detailed breakdown of what is needed along with the costs. Furthermore, as Miss B has chosen to not use RSA's repairers, I'm not persuaded RSA has acted unfairly by paying what it would have cost it in cash in lieu of repairs. I'm therefore not going to tell it to pay any more. However, if the work does cost more than RSA has paid, and Miss B provides evidence of this along with a breakdown of the costs I would expect RSA to assess any additional costs to see whether it's fair to cover them.

I've also considered the theft of Miss B's jewellery. I understand Miss B has said that on the balance of probabilities it was RSA's repairers who stole her jewellery. However, it wouldn't be appropriate for me to make that finding. I say this because theft is a criminal matter and something to be decided by the Criminal Courts. I can also see that the theft has been reported to the Police and RSA has said it's working with the Police with its investigations. As RSA has cooperated with the Police, I'm not persuaded RSA has acted unreasonably when Miss B made them aware of the theft.

RSA has also confirmed it will consider the theft claim separately and if accepted waive the £200 excess for a theft claim. If not accepted RSA has agreed to pay this £200 to Miss B as further compensation along with paying Miss B £125 for a new door lock. I'm satisfied this is fair and reasonable for RSA to do. This is because the theft is a separate incident to the escape of water and so I don't think RSA is being unreasonable by dealing with it as a

separate claim.

I understand Miss B would like it dealt with under the escape of water claim but I'm not persuaded that is fair and reasonable in these circumstances. I say that because the Police haven't found that it was RSA's repairers who carried out the theft. I'm therefore not satisfied it should be recorded under the escape of water claim. If the Police do conclude that it was RSA's repairers who committed the crime of stealing Miss B's jewellery, then I think RSA should consider at that point whether it's fair and reasonable to deal with it under the escape of water claim and if Miss B is unhappy with RSA's response, she could raise that as a separate issue.

Miss B has said it's not fair that she needs to declare two claims going forward because of the theft and therefore have increased premiums. As I don't think RSA have done anything wrong by declaring it as two claims it wouldn't be fair to tell RSA to compensate Miss B for the impact, she's had by needing to declare the two claims.

My final decision

For the reasons explained above my final decision is that Royal & Sun Alliance Insurance Limited's offer to waive the £200 excess for the theft claim, or pay it as compensation if the theft claim isn't accepted is fair and reasonable.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss B to accept or reject my decision before 3 January 2023.

Alex Newman
Ombudsman